Economics Test -1

Q1. ______ is the market value of all final goods and services produced within a domestic territory of a country measured in a year.

A. Gross margin
B. Gross Domestic Product (GDP)
C. Net National Product (NNP)
D. Gross National Product (GNP)

Solution: Gross Domestic Product measures the monetary value of final goods and services—that is, those that are bought by the final user—produced in a country in a given period of time. GNP = GDP + NR (Net income inflow from assets abroad) - NP (Net payment outflow to foreign assets). NNP = GNP – Depreciation.

Q2. Which of the following facts is NOT associated with PC Mahalanobis who contributed to the formulation of India's Five Year Plans?

A. He established the Indian Statistical Institute.
B. He started the journal Sankhya.
C. He is known as the ar chitect of Indian planning.
D. Mahalanobis was born in 1983 in Calcutta.

Solution: P.C. Mahalanobis (Indian Statistician) was born on 28 June 1972 in Kolkata . Facts related to him: Proposed Mahalanobis Distance (a measure of comparison between two data sets) in 1930; Founded the Indian Statistical Institute (ISI) in 1932; Created the Feldman-Mahalanobis model us ed in India's second five year plan (1956 – 1961), which promoted rapid industrialization of the country ; Launched ' Sankhya: The Indian Journal of Statistics' in 1933 ; Established the National Sample Survey in 1950.

Q3. Which of the following is NOT an example of a minor industrial region of India?

A. Hugli region
B. Ambala-Amritsar region
C. Northern Malabar region
D. Durg-Raipur region

Solution: Hugli region. Some Minor Industrial Regions of India: Kanpur-Lucknow Industrial Region, Assam valley industrial zone, Darjeeling-Siliguri Industrial Region, Kerala coast industrial region, Amritsar Jalandhar - Ludhiana Industrial Region. Some Major Industrial Regions of India: The Mumbai-Pune Industrial Region, Ahmedabad-Baroda region, Vishakhapatnam-Guntur Region, Gurgaon-Delhi-Meerut region, Kollam-Thiruvananthapuram Industrial region.

Q4. Who gave the concept of 'money illusion' for the first time?

A. Robertson
B. Adam Smith
C. Irving Fi sher
D. JM Keynes

Solution: Irving Fisher (American economist):- Term Money Illusion First coined by him in his book "Stabilizing the Dollar." Money illusion is the belief that money has a fixed value and the effects of inflation are ignored. The concept of money illusion was popularized by John Maynard Keynes. Adam Smith was a Scottish economist who wrote the book "The Wealth of Nations". Dennis Robertson was a British economist known for his work on monetary economics and his contributions to Keynesian economics.

Q5. Which of the following statements is/are true regarding the Green Revolution? i. The term 'green revolution' was coined by Sir William Gaud. ii . Norman Borlaug is hailed a s the Father of Green Revolution. iii . MS Randhawa is called the Father of Green Revolution in India.

A. Only i and iii
B. Only i and ii
C. Only ii
D. Only iii

Solution: Only i and ii. Green Revolution - 'Father of Green Revolution - Norman Borlaug and In India - M.S. Swaminathan. Started in the late 1960s (3 rd five year Plan) with the first introduction of High Yie lding Variety (HYV) seeds in Indian agriculture. Maximum rate of increase of production - Wheat crops.

Q6. The tax imposed on goods imported into and exported out of India is called_____.

A. corporation tax
B. excise tax
C. capital gain tax
D. custom duty

Solution: Customs duty refers to the tax imposed on goods when they are transported across i nternational borders. Corporation Tax is a direct tax levied on the net income or profit of a corporate entity from their business, foreign or domestic. An Excise tax is any duty on manufactured goods that is levied at the moment of manufacture rather than at sale. The capital gains tax is the levy on the profit that an investor makes when an investment is sold.

Q7. For which of the following sources of financial resources may financial intermediation NOT be required ?

A. Raising equity via public offering
B. Borrowing from banks
C. Family funds
D. Borrowing from All India Development Financial Institutions

Solution: Family funds. Financial intermediation refers to the process where financial institutions act as intermediaries between savers and borrowers, facilitating the flow of funds. Raising equity through public offerings, borrowing from banks, and obtaining funds from All India Development Financial Institutions all involve financial intermediation. Banks itself acts as intermediaries between depositors and borrowers.

Q8. At higher levels of development, which sector of the economy contributes less to the GDP ?

A. Industrial sector

B. Service sector

C. Both service and agriculture sector

D. Agriculture sector

Solution: Agriculture sector: It comes under the primary sector, which focuses on the collection of raw materials, contributing the least to the GDP at about 17%. In contrast, the secondary sector, engaged in processing and manufacturing goods, accounts for approximately 30% of the GDP. The tertiary sector, which provides services, contributes the most at around 53%. This structure highlights the shifting dynamics of the economy, with services playing a pivotal role in driving growth.

Q9. The__________Five-Year Plan was the first plan to focus on gender issues, women empowerment and the growing inequalities amongst the states and inter-regional disparities.

A. Third

B. Fifth

C. Sixth

D. Fourth

Solution: Fifth. Important five year plans and their main aim: First (1951-56) - It mainly addressed the agrarian sector, including investment in dams and irrigation. Third (1961-66) - Focus was on agriculture and improvement in the production of wheat. Sixth (1980-85) - It underlined the beginning of economic liberation by eliminating price controls. Eighth (1992-97) - Promoted the modernisation of Industries. Twelfth (2012-17) - Aimed at strengthening infrastructure projects, removing the gender and social gap in admissions at school.

Q10. In which of the following years did the government opt for a plan holiday after the seventh five-year plan ?

A. From 1989 to 1991

B. From 1990 to 1992

C. From 1992 to 1993

D. From 1991 to 1993

Solution: From 1990 to 1992 - It was a period of Annual Plans because the Eighth Five Year Plan could not take place due to the volatile political situation at the centre. Two annual programmes were formed for the year 1990-91 & 1991-92. The first five-year plan (Concept borrowed from USSR) in India was launched in 1951. The period between 1966 to 1969 is called Plan Holidays. The period between 1978 to 1980 is called the Rolling Plan.

Q11. Which of the following is NOT one of the methods of national income estimation?

A. Banking method

B. Expenditure method

C. Product method

D. Income method

Solution: National income of a country means the sum total of incomes earned by the citizens of th at country during a given period, over a year. The different methods of measuring National Income includes Income Method (Estimated by adding all the factors of production (rent, wages, interest, profit) and the mixed-income of self-employed), Production (Value-added = Value of Output – Value of (non-factor) inputs) Method and the expenditure method of calculating national income or gross domestic product takes into account the final goods and services produced in a country during a period of time.

Q12. Assume that the value of the cash reserve ratio is 25%. What will be the value of the money multiplier ?

A. 3

B. 5

C. 4

D. 2

Solution: 4. The Cash Reserve Ratio (CRR) - The minimum percentage of total deposits that commercial banks are required to retain as cash reserves with the RBI. Money multiplier is a term in monetary economics that is a phenomenon of creating money in the economy in the form of credit creation.

Q13. In India, social groups which are most vulnerable to poverty are______. I. Sch eduled Caste households II. Scheduled Tribe households

A. Neither I nor II

B. Both I and II

C. Only II

D. Only I

Solution: The vulnerable groups that face discrimination include Women, Scheduled Castes (SC), Scheduled Tribes (ST), Children, the Aged, Disabled, Poor migrants, People living with HIV/AIDS, and Sexual Minorities.

Q14. Which of the following years was declared as the international year of micro credit by the UN?

A. 2002

B. 2004

C. 2008

D. 2005

Solution: 2005. The International Year of Microcredit event highlighted microfinance as an instrument for socioeconomic development. The event was launched on November 18, 2004. Micro credit - It is a method of lending very small sums to individuals to start or expand a small business. Example of microcredit - Grameen Bank in Bangladesh, founded by Muhammad Yunus.

Q15. The workforce population incl udes people between______years.

A. 20 to 54

B. 15 to 59

C. 18 to 45

D. 17 to 55

Solution: The people belonging to the age group of 15 to 59 in a country, are referred to as the working population. Children under the age of 15 are considered economically unproductive.

Q16. If we deduct depreciation from GNP the measure of aggregate income that we obtain is called .

A. Gross Domestic Product at market prices

B. Gross Domestic Produc t

C. Net National Product

D. Personal income

Solution: NNP = GNP – Depreciation. Net national product (NNP) is the market value of all the finished goods and services that are produced by citizens of a nation, living domestically and internationally during a year. Gross Domestic Product at market prices is called Nominal GDP. Gross Domestic Product at co nstant price is called Real GDP. Personal Income = National Income - Corporate Income Taxes-Undistributed Corporate Profits- Social Security Contribution +Transfer Payments. GDP = C+I+G+(X-M) (C=Consumption, I=Investment, G=Government expenditure , and (X - M) =Export minus import).

Q17. In India, which organisation is responsible for collecting data related to unemployment?

A. NITI Aayog
B. Securities and Exchange Board of India
C. National Sample Survey Organisation
D. Planning Commission

Solution: The National Sample Survey organization collects data related to Unemployment in India. The National Sample Survey Office (NSSO) is now merged with the Central Statistical Office to form the National Statistical Office (NSO) in 2019.

Q18. Which of the following statements regarding seasonal unemployment is CORRECT?

A. It happens when people are not able to find jobs during some months of the year.
B. It happens mainly in urban areas
C. If a field requires 4 people, and 7 are employed, then 3 people are seasonally unemployed
D. People who do not depend upon agriculture usually face such kind of unemployment

Solution: Seasonal unemployment occurs when people are unemployed at particular times of the year when demand for labour is lower than usual. Examples include: lifeguards who aren't needed during cold winter months, personal accountants who are needed during tax season, agricultural workers who are unemployed outside the growing season, etc.

Q19. Which Five Year Plan period saw the initiation of the Hill Area Development Programme ?

A. Sixth Five Year Plan
B. Fourth Five Year Plan
C. Eighth Five Year Plan
D. Fifth Five Year Plan

Solution: Fifth Five Year Plan (1974-1979) was terminated in 1978 by the Morarji Desai government. Key initiatives during this period included the amendment of the Electricity Supply Act (1975), the launch of the Twenty-point Program, the Minimum Needs Programme (MNP), and the Indian National Highway System. The Planning Commission, which formulated and regulated these plans, was established on March 15, 1950, and replaced by NITI Aayog in 2015.

Q20. The first complete census taken in India is in the year ________.

A. 1881
B. 1872
C. 1900
D. 1860

Solution: First complete census of India took place in 1881 . Till date, the Census took place 15 times after every 10 years (15th census took place in 2011). 16th Census scheduled to be held in 2021 but postponed due to the outbreak of Corona Pandemic. The 16th census wil l be the first digital Census and for the first time Transgender Community will be included in the census.

Q21. Which of the following is NOT the function of the central bank of the country ?

A. It controls money supply of the country
B. It acts as a banker to the government
C. It accepts deposits from the public
D. It issues the currency of the co untry

Solution: Reserve Bank of India (RBI) is the central bank of India. It does not accept deposits from the public. Functions of the RBI: Banker to Banks, Issuer of Currency, Bankers to Government, Monetary Management, Regulation of Banking and Non-Banking Financial Institutions, Government Securities Market, and Money Market, Foreign Exchange Reserve Management, Central and Sta te Government's Debt Manager, etc.

Q22. Which of the following is a source of tax revenue ?

A. Profits
B. Customs
C. Grants
D. Penalties

Solution: Customs. Tax revenue: Funds collected from taxes on income and profits. Types of tax revenue : Direct tax (income tax, wealth tax, corporate) and Indirect tax (sales tax, service tax, custom tax). Non tax revenue : Recurring income earned by the government other than taxes (interest receipts, profits and dividends).

Q23. If unemploymen t continues to be a long-term feature of a country, then it is called______unemployment.

A. structural
B. casual
C. frictional
D. chronic

Solution: If unemployment continues to be a long term feature of a country, it is called chronic unemployment. Structural unemployment is a category of unemployment caused by differences betwe en the skills possessed by the unemployed population and the jobs available in the market. Casual Unemployment is when the worker is employed on a day-to-day basis for a contractual job and have to leave it once the contract terminates. Frictional unemploy ment is the result of voluntary employment transitions within an economy.

Q24. Based on the recommendations of which Committee was the creation of a separate category for NBFCs operating in the microfinance sector (NBFC-MFI) done?

A. Narasimhan Committee
B. Malegam Committee

C. Deepak Parekh Committee
D. PK Mohanty Committee

Solution: Malegam committee . The Reserve Bank of India had appointed this committee to go into the regulation of microfinance institutions (MFIs). The committee was formed in 2010 and Chairman - Y H Malegam, a noted chartered accountant and ba nker. Recommendations - Creation of a separate category of NBFC operating in the microfinance sector to be designated as NBFC-MFI. Criteria for defining 'microfinance loans' classified as 'qualifying assets. Ceiling on individual loans. RBI - Established - 1 April 1935, Nationalised - 1 January 1949, Headquarters - Mumbai, Ownership - Ministry of Finance and Government of India.

Q25. Which of the following is an example of sedimentary rocks?

A. Granite
B. Sandstone
C. Marble
D. Basalt

Solution: Common sedimentary rocks include sandstone, limestone, and shale. Examples of igneous rocks are basalt. diabase , diorite, gabbro, granite, pegmatite, and peridotite. Examples of Metamorphic Rocks are Hornfels, Amphibolite, Gneiss, Novaculite, Marble ·, Phyllite, Lapis Lazuli, Quartzite, etc.

Q26. Which of the following is the most traditional mode of entering into the foreign market ?

A. Exporting
B. Undertaking portfolio investment
C. Mergers and acquisitions
D. Setting up fully owned manufacturing facilities

Solution: Exporting involves the sale of domestically produced goods to international buyers. It allows companies to expand their reach with low risk and investment. Exporting can take various forms, including direct sales and online platforms, and is often the first step for businesses seeking to internationalize.

Q27. Taxes like gift tax, wealth tax etc are also referred to as which type of taxes ?

A. Rich taxes
B. Paper taxes
C. Paperless taxes
D. Direct taxes

Solution: Paper taxes - It is simply a form where taxpayers declare their taxable income, deductions, and tax payments. Wealth tax and gift tax are referred to as "paper taxes". This is because they are taxes that are levied on the possession of wealth or the transfer of wealth, but they do not generate much revenue.

Q28. Which organisation of the government of India reports the GDP of the country?

A. Securities and Exchange Board of India
B. Central Statistics Office
C. NITI Aayog
D. Reserve Bank of India

Solution: The GDP figures in India are released by the Central Statistics Office (CSO), which comes under the Ministry of Statistics and Program Implementation (MOSPI). GDP stands for "Gross Domestic Product" and represents the total monetary value of all final goods and services prod uced (and sold on the market) within a country during a period of time (typically 1 year).

Q29. Which Indian budget introduced a statement highlighting the gender sensitivities of the budgetary allocations?

A. 2008-09
B. 2010-11
C. 2005-06
D. 2001-02

Solution: 2005-06 Indian budget introduced a statement highlighting the gender sensitivities of the budgetary allocations. Gender budgeting deals with gender-sensitive formulation of legislation, programs and schemes, allocation of resources, implementation and execution, Audit and impact assessment of programs and scheme s, and follow-up corrective action to address gender disparities.

Q30. The tertiary sector of Indian Economy is related to________

A. manufacturing sector
B. agriculture and related s ectors
C. electricity and coal
D. transport, communication and business/services

Solution: Sectors of Economy ⇒ Primary Sector → Agriculture, Mining, Fishing, Forestry, Dairy etc; Secondary sectors → Industrial production, cotton fabric, sugar cane production etc ; Tertiary Sector → transportation, communication, banking, insurance, finance etc.

Q31. The valu e of GDP at the current prevailing prices is called_________.

A. nominal GDP
B. current GDP
C. domestic GDP
D. real GDP

Solution: Nominal gross domestic product (GDP) is the value of all the final goods and services at current market prices. Real gross domestic product (real GDP) is an inflation-adjusted measure of the value of all goods and services produced in an economy. Gross Domestic Product (GDP) is referred to as the total monetary value of all the final goods and services produced within the geographic boundarie s of a country, during a given period (usually a year).

Q32. Which of the given sectors is largely driven by considerations of social welfare?

A. Foreign
B. Co-operative
C. Public
D. Private

Solution: Public sector (completely owned and operated by the government of the country) promotes social welfare by providing basic amenities to citizens of the country. Main purpose of the private sector (owned, controlled and managed either by individuals or business entities) is to make profits. Purpose of the Cooperative sector (owned and operated by a collective of individuals) is to provide and distribute benefits to members based on their use. Purpose of foreign sector is to undertake external activity that is outside the control of the domestic economy.

Q33. Match list I to list II.

A. a-i, b-iii, c-ii
B. a-iii, b-i, c-ii
C. a-ii, b-i, c-iii
D. a-i, b-ii, c-iii

Solution: a-ii, b-i, c-iii. The Planning Commission was replaced by a think tank called NITI AAYOG in 2015. First Five-Year Plan (1951-56) - It was based on the Harrod Domar Model. Second Five Year Plan (1956-61) - It was drafted and planned by P.C Mahalanobis. Fifth Five-Year Plan (1974-78) - The Indian National Highway System was introduced. Eighth Five Year Plan (1992-97) - India became a member of the World Trade Organisation on 1 January 1995.

Q34. Plan revenue ex penditure relates to_____________ I. Five-year plans II. Salaries and pensions

A. Only I
B. Neither I nor II
C. Both I and II
D. Only II

Solution: Only I. Any expenditure that is incurred on programmes which are detailed under the current (Five Year) Plan of the centre's advances to state for their plans is called plan expe nditure. Provision of such expenditure in the budget is called Plan Expenditure. On the recommendations of C Rangarajan Committee 2011 , plan and non plan expenditure were abolished.

Q35. The government budget gives a statement of the_____.

A. receipts and expenditure of the government
B. developments in the Indian economy
C. receipts of the government only
D. expenditure of the government only

Solution: A government budget is a country's document or yearly financial statement that shows the estimated revenue and expenditure of one by one every item during the course of that year.

Q36. For the first time the objective of self-reliance was incorporated in the____________Five-Year Plan.

A. third
B. second
C. fifth
D. first

Solution: The objective of self-reliance was first included in the Third Five Year Plan (1961-66). First five-year plan (1951-56): Agricultural development. Second five-year plan (1956-61): Industries. Fifth five-year plan (1974-78): Poverty alleviation.

Q37. Identify the FALSE statement.

A. RBI decides the bank rate for the economy
B. SEBI conducts open market operations to regulate money supply in the economy
C. RBI prints the 100 currency notes
D. Ministry of Finance issues 1 coins

Solution: Open Market Operations is the simultaneous sale and purchase of government securities and treasury bills by RBI. Objective - to regulate the money supply in the economy. RBI carries out the OMO through commercial banks and does not directly deal with the public. Securities and Exchange Board of India (SEBI) - Established - April 12, 1988 , Statutory powers - 30 January 1992, Headquarters - Mumbai.

Q38. How much wage compensation per trainee is provided under the PM DAKSH Yojana ?

A. Rs. 3000
B. Rs. 6000
C. Rs. 8000
D. Rs. 2000

Solution: Rs. 3000. PM-DAKSH (Pradhan Mantri Dakshta Aur Kushalta Sampann Hitgrahi) - Launched - the Ministry of Social Justice & Empowerment (MoSJ&E), Government of India in 2020-21 as part of a National Action Plan. Objective - to increase the skill levels of the target youth by pr oviding them short term and long term skills, followed by assistance in wage/self-employment. There are four types of skill development training programmes - Up-skilling/Reskilling, Short Term Training Programmes, Long Term Training Programmes, and Entrepr eneurship Development Programme.

Q39. Which of the following policy measures is NOT a stop towards liberalization?

A. Removal of requirement of registration for certain industries
B. Increase in equity limit of foreign investment
C. Removal of industrial licensing for certain industries
D. Enhancement in tariffs

Solution: Enhancement in tariffs - Tariffs are taxes on imports, and they are typically used to protect domestic industries from foreign competition. Liberalisation - Situation where inessential restrictions and controls are removed from a country's economy to ensure that businesses and enterprises can maximise their contribution. The Indian economy was liberalized in the year 1991. LPG - Liberalisation, Privatization, Globalization.

Q40. Selling of bonds by the RBI will cause money supply to __________.

A. increase
B. No relationship exists between selling bonds and money supply
C. fluctuate
D. decrease

Solution: Decrease. Open Market Operations (OMOs) refer to the buying and selling of government securities by RBI to regulate the short-term money supply. If RBI wants to induce liquidity or more funds in the system, it will buy government securities and inject funds into the system. If RBI wants to reduce liquidity or money supply, it will sell securities and suck funds from the system.

Q41. What is the rationale behind why one is ready to hold a ten rupee coin ?

A. It is finely and artistically minted.

B. It can be melted to extract metal worth ₹10 out of it.

C. Its value is backed by the issuing authority.

D. Its intrinsic value is greater than ₹10.

Solution: Money is a medium of exchange for various goods and services in an economy. Characteristics : Durable, Easily recognizable, Stability, Portable; Primary functions - Medium of exchange, A measure of Value. Secondary Function : Medium of exchange, A measure of Value, Liquidity, Store of value, Standard of deferred payments, Basis of Credit Creation; Types of Money: Commodity Money, Fiat Money, Fiduciary Money and Commercial Bank Money.

Q42. With respect to occupation, secondary activities include _______.

A. mining

B. administration

C. construction work

D. Fishing

Solution: Secondary activities are concerned with manufacturing, processing, and construction (infrastructure) industries. Examples of these activities include small potteries, handicraft manufacture, Factories that manufacture steel , chemicals, plastic, etc. Mining and Fishing (primary activity); Administrative (tertiary);

Q43. Gross primary deficit is the difference between ________.

A. revenue deficit and interest receipts

B. gross fiscal deficit and interest receipts

C. revenue deficit and interest payments

D. gross fiscal deficit and net interest liabilities

Solution: Gross primary deficit = Gross fiscal deficit – Net interest liabilities, A primary deficit is the amount of money that the government requires to borrow from the interest payments on the formerly borrowed loans. Gross fiscal deficit = Total expenditure – (Revenue receipts + Non-debt creating capital receipts), A fiscal deficit is the distinctio n between the government's total expenditure and its total receipts, which excludes borrowing. Revenue deficit = Revenue expenditure – Revenue receipts, A revenue deficit refers to the surplus of the government's revenue expenditure over the revenue receip ts.

Q44. Dadabhai Naoroji was a ______.

A. Businessman

B. Doctor

C. Soldier

D. British Officer

Solution: Dadabhai Naoroji (Grand Old Man of India) was a businessman . Facts : first Indian member of the British parliament, Congress president thrice (1886, 1893, and 1906), Vice-president of the Bomba y Presidency Association (1885), became member of the royal commission on Indian expenditure in 1895, key proponents of the Drain Theory, Book ('Poverty and Un-British Rule in India', 'Poverty in India', 'The wants and means of India', Unsung Heroes, etc.)

Q45. What is the year whose prices are used to calculate the real GDP called?

A. Fiscal year

B. Base year

C. Next year

D. Common year

Solution: The current base year for GDP calculations on constant prices is 2011-12. A base year is the first of a series of years in an economic or financial index. The financial year or the fiscal year in India is from 1st April of a year to 31st March of the next upcoming year.

Q46. The government of india launched a new programme called the New India Literacy Programme (NILP) for five years, from FY's ____________ to ____________ with a budget of ₹1,037.90 crores.

A. 2023-24 to 2026-27

B. 2022-23 to 2026-27

C. 2022-23 to 2024-25

D. 2021-22 to 2025-26

Solution: 2022-23 to 2026-27. New India Literacy Programme (NILP) - Aims to cover a target of 5.00 crore non-literates in the age group of 15 years and above. The Scheme has five components: (i) Foundational Literacy and Numeracy, (ii) Critical Life Skills, (iii) Vocational Skills Development, (iv) Basic Education and (v) Continuing Education. All the non-literate above 15 years of age can avail the benefits of the scheme. Implemented by - Ministry of Education.

Q47. Which of the following indicators is the best to assess the living standard of people?

A. Literacy rate

B. Physical quality of life index

C. Neonatal mortality rate

D. Maternal mortality rate

Solution: Physical Quality of Life Index (PQLI) - A measure that combines three basic indicators of human well-being – Literacy Rate, Life Expectancy, and Infant Mortality Rate. Life Expectancy Rate (LER) : The average number of years a person is expected to live. Infant Mortality Rate (IMR) : The number of infants dying within one year of their birth out of every 1000 births. Literacy Rate (LR) : The percentage of the population of a given age group that can read and write.

Q48. What was the main purpose of establishing the Agricultural Prices Commission in 1965 ?

A. To determine the prices for various farm products purchased by the government

B. To determine the price of seeds used in agriculture

C. To determine the prices for various farm products for sale in the open market

D. To determine the price of fertiliser and electricity paid by farmers

Solution: The Commission for Agricultural Costs and Prices (CACP) is an attached office under the Ministry of Agriculture & Farmers Welfare, Government of India, that recommends Minimum Support Prices (MSPs) for select crops. It was established in 1965 as the Agricultural Prices Commission, and was given its present name in 1985.

Q49. When was the 8th round of the General Agreement on Tariffs and Trade (GATT), the so-called 'Uruguay Round' which led to the establishment of World Trade Organization

(WTO) completed ?

A. 1992

B. 1993

C. 1991

D. 1994

Solution: 1994. The General Agreement on Tariffs and Trade (GATT) was signed in Geneva in 1947 by 23 countries, entered into force on 1 January 1948. Aim - To liberalize trade by reducing tariffs and trade barriers among member countries. The Uruguay Round of Conference (1987 to 1994), culminated in the Marrakesh Agreement, which led to the establishment of the World Trade Organization (1 January 1995).

Q50. Why are the intermediate goods NOT included in the National Income ?

A. Intermediate goods increases the income.

B. Intermediate goods decreases the income.

C. For the prevention of double accounting.

D. Intermediate goods are not reliable.

Solution: For the prevention of double accounting. The raw materials that a firm buys from another firm which are completely used up in the process of production are called 'intermediate goods'. Intermediate goods are used in the production of final goods, and their value is already reflected in the final product. For example, steel used to manufacture cars means that if both the production of steel and the production of cars were counted, it would result in double counting. Therefore, to avoid this distortion in calculating national income, only the value of final goods is included.

Q51. Which of the following banks is in charge of India's banking and monetary system ?

A. Union Bank

B. RBI

C. BOB

D. SBI

Solution: RBI. The Reserve Bank of India (RBI) is the central authority responsible for regulating the circulation of the Indian rupee, monetary policy, and the banking system within the Indian economy. It was established in 1935 under the Reserve Bank of India Act of 1934. It commenced operations on April 1, 1935. RBI was later nationalized on January 1, 1949, under the Reserve Bank (Transfer of Public Ownership) Act of 1948. The creation of the RBI was based on the recommendations of the Hilton Young Commission, aiming to strengthen India's financial system.

Q52. In 2015, the Planning Commission was replaced with the ___________.

A. Monetary Policy Committee

B. Competition Commission of India

C. NaBFID

D. NITI Aayog

Solution: Planning Commission was replaced by NITI (National Institution for Transforming India) Aayog on January 1, 2015. NITI Aayog emphasis on ' Bottom –Up ' approach to envisage the vision of Maximum Governance, Minimum Government, echoing the spirit of 'Cooperative Federalism'. Hubs of NITI Aayog : Team India Hub and Knowledge and Innovation Hub . NaBFID (National Bank for F inancing Infrastructure and Development), Competition Commission of India (14 October 2003), Monetary Policy Committee (27 June 2016).

Q53. Which of the following industries was NOT in Schedule A of Industrial Policy 1956 ?

A. Mining of salt

B. Iron and steel

C. Air transport

D. Mineral oils

Solution: Mining of salt. Industrial Policy 1956: It was regarded as the "Economic Constitution of India" or "The Bible of State Capitalism". It formed the basis of the second five year plan. It Classified into three categories - Schedule A (consisting of 17 industries was the exclusive responsibility of the State), Schedule B (consisting of 12 industries, was open to both the private and public sectors), Schedule C (All the other industries that are not included in these two Schedules).

Q54. According to National Statistical Office (NSO) data, India's average literacy rate in 2021 was_______.

A. 77.70%

B. 78.71%

C. 76.70%

D. 70.50%

Solution: 77.70%. The male literacy rate is at 84.70%, and female literacy is at 70.30% in 2021. NSO - It has been formed by merging the National Sample Survey Office (NSSO) with the Central Statistical Office (CSO). It comes under the control of the Ministry of Statistics and Programme Implementation.

Q55. Calculate the GDP at factor cost given in the following data. GDP at market price = 600 crores Consumption of fixed capital = 100 crores Indirect taxes = 200 crores Subsidies = 50 crores

A. 850 crores

B. 450 crores

C. 950 crores

D. 350 crores

Solution: 450 crores. Given, GDP at market price = 600 crores Consumption of fixed capital = 100 crores Indirect taxes = 200 crores Subsidies = 50 crores GDP at factor cost = GDP at market price + Subsidies - Indirect Tax. GDP at factor cost = 600 + 50 - 200 GDP at factor cost = 450

Q56. Bhagwati Committee (1973) presented a report on ____________.

A. unemployment

B. poverty

C. population growth

D. commerce

Solution: Bhagwati Committee is related to Unemployment and Public Welfare. Upon recommendations of Dantwala Committee, 3 approaches are used for measurement of Unemployment in India, such as Usual Status Approach, Weekly Status Ap proach, and Daily Status Approach.

Q57. The Monetary Policy Committee maintained a hawkish stand on the interest rates. In this context, 'hawkish" stand m eans ____________ _.

A. interest rates were decreased

B. interest rates were increased

C. interest rates were kept unchanged

D. money supply was increased

Solution: interest rates were increased. A hawkish stance indicates that the central bank's top priority is to keep the inflation low. It also indicates a tight monetary policy. Qualitative Tools of Monetary Policy - Credit rationing, consumer credit regulation, guidelines, margin requirements. Quantitative Tools of Monetary Policy - Open Market Operations, Bank Rate, Repo Rate, Reverse Repo Rate, Cash Reserve Ratio, Statutory Liquidity Ratio, Marginal standing facility, and Liquidity Adjustment Facility (LAF).

Q58. Which of the following events happened in 1950 ?

A. First Five-Year Plan was started

B. The Planning Commission was set up

C. First National Agricultural Policy was adopted

D. Industrial Policy Resolution was adopted

Solution: The Planning Commission was set up. The Prime Minister is the Chairman of the Planning Commission. First chairman Jawaharlal Nehru. The First Five-year Plan was launched in 1951. The first National Agriculture Policy was announced in July, 2000. The Industrial Policy Resolution (IPR) of 1956 was adopted by the Indian Parliament in April 1956.

Q59. Which of the following is not an example of fiat money in India?

A. ₹500 currency note

B. ₹200 bank cheque

C. ₹20 coin

D. ₹10 coin

Solution: ₹200 bank cheque. Fiat money : Currency issued by the Government that is not backed by a commodity such as Gold. Examples : Paper currency, Coins, and Demand drafts. Legal tender : A type of currency or medium of exchange that can be in the form of a coin or a banknote that is recognize d by law as an acceptable means for settling debts or obligations. Examples : Cheques and credit card swipes.

Q60. Which of the following options is not an example of small savings?

A. Mutual Funds

B. Kisan Vikas Patras

C. National Savings Certificates

D. Post Office Deposits

Solution: Mutual Funds - A mutual fund is a type of investment vehicle consisting of a portfolio of stocks, bonds, or other securities. The mutual funds in India are regulated by the Securities and Exchange Board of India (SEBI) and the Reserve Bank of India (RBI). The Government of India set up the first mutual fund by an Act of Parliament in 1963.

Q61. When was the Prime Minister's Employment Generation Programme (PMEGP) launched?

A. 2012

B. 2008

C. 2006

D. 2009

Solution: 2008. The PMEGP scheme is implemented by Khadi and Village Industries Commission (KVIC). Aim - To provide continuous and sustainable employment. Centrally Sponsored Schemes for Employment: Mahatma Gandhi National Rural Employment Guarantee Scheme (MGNREGS) launched in - 2006; Deendayal Antyodaya Yojana-National Rural Livelihood Mission (DAY-NRLM) Launched in - 2011; Deendayal Upadhyay- Gramin Kaushalya Yojana (DDU-GKY) - Launched in 2014.

Q62. Which of the following statements about privatisation is FALSE ?

A. There was an increase in the cases of disinvestment after the economic reforms of 1991 as compared to the pre-1991 period.

B. Improved performance is one of the advantages of privatisation.

C. Maruti Udyog Limited was a public sector enterprise before the 1991 economic reforms.

D. There is no possibility of exploitation of monopoly power by private companies after privatisation.

Solution: Privatization is the process of transferring ownership, management, or control of a public sector entity to a private company or entity. Privatization can result in private monopolies, especially in industries with high barriers to entry, such as telecommunications and utilities. There is a possibility of exploitation of monopoly power by private companies after privatization.

Q63. Which of the following was NOT an advantage of privatisation ?

A. Reduced competition

B. Overall improved performance

C. Additional source of revenue for the government

D. Low interference of political motives

Solution: Privatization generally aims to enhance competition by allowing private entities to enter markets, which can lead to improved efficiency and innovation. The other options listed are commonly recognized advantages of privatization.

Q64. How much percentage of the capital of MUDRA is contributed by SIDBI ?

A. 75

B. 50

C. 100

D. 90

Solution: 100. The Micro Units Development and Refinance Agency (MUDRA) was set up in 2015, as a wholly owned subsidiary of the Small Industries Development Bank of India (SIDBI). MUDRA provides refinancing support to financial institutions for lending to micro and small enterprises. The categorizes loans: Shishu (up to ₹50,000), Kishore (₹50,000 to ₹5 lakh), and Tarun (₹5 lakh to ₹20 lakh).

Q65. Which of the following is a joint sector industry in India ?

A. NALCO

B. TISCO

C. Dabur

D. Oil India Limited

Solution: Oil India Limited (OIL). OIL (Maharatna Company) is a state-owned enterprise of the Government of India, under the administrative control of the Ministry of Petroleum and Natural Gas. It was incorporated in 1959. Headquarters - Noida. National Aluminium Company Limited (NALCO) established in 1981. Tata Iron and Steel Company (TISCO) founded by Jamsetji Nusserwanji Tata and established by Sir Dorabji Tata in 1907 in Jamshedpur. Dabur was founded by Dr. SK Burman in 1884.

Q66. Which regulatory body oversees microfinance institutions in India?

A. Reserve Bank of India (RBI)

B. Ministry of Finance

C. Insurance Regulatory and Development Authority of India (IRDAI)

D. Securities and Exchange Board of India (SEBI)

Solution: The Reserve Bank of India is the central bank of India. It is responsible for regulating the banking system and financial markets in India. The RBI has been given the authority to regulate microfinance institutions in India under the Microfinance Institutions (Development and Regul ation) Bill, 2017. RBI - Established - 1 April 1935, Nationalised - 1 January 1949, Headquarters - Mumbai, Ownership - Ministry of Finance and Government of India.

Q67. Which of the following measures of money supply is least liquid of all?

A. M4

B. M1

C. M3

D. M2

Solution: M4 is the least liquid and M1 is the most liquid measure of money. M1 = Currency with the public + Demand deposits with the banking system + 'Other' deposits with the RBI. M4 = M3 + All deposits with post office savings banks (excluding National Savings Certificates).

Q68. Which of these is true about the second phase of the green revolution

A. It c overed the period of the 1980s.

B. It was introduced in areas with irrigation facilities.

C. It covered the period of the 1960s and 1970s.

D. It was introduced in Punjab and Uttar Pradesh regions.

Solution: Green Revolution : Initiated by Norman Borlaug (Father of the Green Revolution in the world) in the 1960s. He developed High Yielding Varieties (HYVs) of wheat and won the Nobel Peace Prize (1970). Father of the Green Revolution in India: M.S. Swaminathan. Green revolution: Revolution in the increase of food grains (especially wheat). White revolution: Revolution in the increase of milk. Blue revolution: Revolution in fish production, Yellow revolution: Revolution in the production of oil seeds.

Q69. Which institution had launched the project E-Shakti for the digitisation of all member s of self-help groups in India ?

A. SIDBI

B. SEBI

C. IFCI

D. NABARD

Solution: NABARD: It is a statutory body established in 1982 under the Parliamentary Act-National Bank for Agriculture and Rural Development Act, 1981 . E-Shakti - It was initiated to address certain concerns like improving the quality of bookkeeping of SHGs (self-help groups) and to enable banks to take informed credit decisions about the group through a Management Information System (MIS). SIDBI (Small Industries Development Bank of India) 2 April 1990, Headquarters - Lucknow. SEBI (Securities and Exchange Board of India) 12 April 1988, Headquarters - Mumbai. IFCI (The Industrial Finance Corporation of India) - 1 July 1948, Headquarters: New Delhi.

Q70. Choose the correct pair from the following options.

A. Third Five-year Plan - Rapid industrialisation and basic industries

B. Fourth Five-year Plan - Family planning programme

C. First Five-year Plan - Mahalanobis model

D. Second Five-year Plan - Focus on agriculture

Solution: Fourth five-year -plan (1974-1979) - Main focus: family planning programme . First five-year plan (1951 - 1956): Harrod Domar Model : Main focus : agricultural development. Second five-year plan (1956 - 1961): Mahalanobis model: Main focus: Industry. Third five-year plan (1961 - 1966): John Sandy and Sukhamoy Chakravarty Model; Main focus; agriculture and wheat production.

Q71. Which of the following is NOT an advantage of E-Commerce?

A. Cost saving and price reduction

B. Late response to customer needs

C. Wider choice

D. Improved customer services

Solution: E - Commerce is a business model that lets firms and individuals buy and sell things over the Internet. Advantages : increased productivity and perfect competition, global market, cuts the product distribution chain, managing business easy and simple. Disadvantage (chance of fraudulent financial transactions and loss of sensitive financial information).

Q72. How many cities are covered under the Atal Mission for Rejuvenation and Urban Transformation (AMRUT) scheme?

A. 500

B. 200

C. 400

D. 300

Solution: 500. AMRUT (Atal Mission for Rejuvenation and Urban Transformation) scheme launched on 25th June 2015. Ministry - Housing and Urban Affairs. Objective - To ensure that every household has access to a tap with the assured supply of water and a sewerage connection. To reduce pollution by switching to public transport or constructing facilities for non-motorized transport.

Q73. Which of the following is NOT included in inventory investment when calculating national income ?

A. Change in sales during the year

B. Change in stock of semi-finished goods

C. Change in stock of raw material

D. Change in stock of finished goods

Solution: Change in sales during the year. The stock of unsold finished goods, or semi-finished goods, or raw materials which a firm carries from one year to the next is called inventory. Inventories are treated as capital. Its Addition to the stock of capital of a firm is known as investment. National income (NI) is the total value of all the final services and goods produced in an economy during a specific period of time.

Q74. Which of these is NOT a characteristic of a free-enterprise economy?

A. Decisions are based on the forces of demand and supply.

B. Factor rewards are based on the productivity of factors of production.

C. All economic decisions are taken by the economic planners.

D. Economic decisions are regulated by the market.

Solution: All economic decisions are taken by the economic planner. Free enterprise, or the free market, refers to an economy where the market determines prices, products, and services rather than the government. Businesses and services are free of government control. Economic Choice : In a free enterprise, consumers have the ability to choose who to transact with. This is only possible if there are multiple market suppliers. Right to Private Property : In a free enterprise, consumers have the right to acquire private property. Voluntary Exchange : In a free enterprise, consumers have the right to choose to or not to exchange goods.

Q75. The Government Budget is a statement of estimates of the government receipts and government expenditure for the coming financial year. The financial year for India is the period from __________ _ to _________ .

A. January 1 to December 31

B. February 1 to January 31

C. October 1 to August 31

D. April 1 to March 31

Solution: April 1 to March 31 . A budget can be defined as an estimate made including the expenditures and reven ues to be spent in that particular financial period. The term 'Budget' is not mentioned in the constitution. Some Articles of Indian Constitution : Article 110 - Definition of money bills. Article 112 - Annual financial Statements. Article 117 - Special p rovisions as a financial bill.